India LLP Technology Service Business

Evidence-based feasibility study and operating playbook for reaching ₹5-10 lakh in sustainable monthly revenue

Prepared for the founding partners

Research completed: 24 July 2026

Web development • AI integration • Automation • Data engineering

Facts, assumptions, estimates and community experiences are explicitly labelled.

How to read this report

Bottom line: an LLP is a suitable operating structure for two founders, but it does not materially create demand. The target depends on a focused offer, continuous sales, pricing, delivery capacity, collections and founder availability. The probability ranges in this report are modelled estimates - not official Indian statistics.

Labels used throughout: FACT means directly supported by an official or published source; INDUSTRY BENCHMARK means a survey of agencies, consultancies or sales teams; EXPERIENCE means a founder or community account; ESTIMATE means this report's model based on stated assumptions. Source IDs such as [S7] point to the clickable source list.

Professional-advice boundary: laws, tax rates, filing systems and regulatory transitions can change. Before acting, ask a chartered accountant (CA) to confirm tax, GST, TDS and accounts; a company secretary (CS) to confirm MCA/LLP filings; and a lawyer to review employment restrictions, the LLP agreement, client contracts, IP and data-processing terms.

Contents

1. Executive summary

4-8% **₹5L by 12 months** Realistic part-time starting case	**10-16%** **₹5L by 24 months** Requires a repeatable sales routine	**25-38%** **₹5L by 60 months** If the firm keeps adapting
1-2% **₹10L by 12 months** Unusual without existing clients	**2-5%** **₹10L by 24 months** Capacity becomes the constraint	**8-15%** **₹10L by 60 months** Realistic scenario, stable 6 months

Modelled answer for the described founders: reaching a stable ₹5 lakh per month is practical but not the most likely outcome in the first two years. A stable ₹10 lakh per month normally requires one founder full-time, a repeatable acquisition channel, contractor/employee delivery capacity, and several retainers or a reliable pipeline of ₹2-5 lakh projects. See Sections 3 and 6 for assumptions.

Evidence that supports the opportunity

India's software-services export base is large: RBI estimated US$204.7 billion in software-services exports for 2024-25, up 7.3%, with computer services contributing more than two-thirds [S10]. Nasscom describes continuing technology and AI adoption [S11-S13]. At the same time, web development is crowded and increasingly commoditised. Promethean's 2025 agency study found web development and web design were still common, but both had declined as agency offerings, while AI implementation rose from 10% of agencies in 2023 to 17% in 2025 [S15].

The five decisive conditions

- Choose one buying problem and one initial customer profile; do not market six unrelated technical capabilities.
- Keep one founder accountable for a weekly sales number while the other owns delivery quality and capacity.
- Sell a paid diagnostic or small outcome-focused project first, then convert successful clients to support, optimisation or maintenance.
- Collect an advance, use milestone billing, stop work on overdue invoices and keep any one client below 35% of trailing six-month revenue.
- Do not leave employment because a single project arrived; use the transition gates in Sections 17 and 18.

Can the chance be raised to 60-80%?

Not honestly for two founders who are truly starting from zero. The model reaches a 50-65% chance of sustaining ₹5 lakh per month by year five only in the strong-execution case: at least one credible acquisition advantage, consistent weekly sales, a clear niche, higher-value pricing, one founder moving full-time after proof, documented delivery and controlled client concentration. A 60-80% claim for ₹10 lakh per month is not defensible from available evidence. Existing committed clients, a distribution partner or a founder with a proven book of relationships changes the starting cohort; it is no longer 'from scratch'.

2. What success means

Term	Plain-English meaning	How to measure it
Revenue	Invoice value earned by the LLP before costs and tax. It is not founder income.	Monthly P&L; exclude GST collected because it is generally a tax liability, not operating revenue.
Gross profit	Revenue minus costs directly required to deliver client work.	Revenue - contractors - project cloud/API - project software - delivery travel.
Gross margin	Gross profit as a percentage of revenue.	Gross profit ÷ revenue. This report targets 60-75% for a founder-led boutique before heavy hiring.
Operating expenses	Costs that support the whole business rather than one project.	Accounting, legal, sales tools, general cloud, insurance, admin and non-project marketing.
Net / pre-tax profit	What remains after direct costs and operating expenses, before or after income tax as labelled.	Never compare a revenue target with personal salary without this bridge.
Founder income	Cash legally paid to partners as permitted remuneration/interest and/or profit share.	Depends on the LLP deed, tax rules, cash reserve and partner agreement. Confirm with a CA.
Recurring monthly revenue	Revenue expected to repeat under a retainer, maintenance or managed-service agreement.	Count only contracted or highly predictable monthly work; do not annualise a one-time project.
One-time project income	Revenue from a defined implementation, redesign or data project.	Recognise by agreed accounting policy and milestones, not merely when a proposal is signed.

Operational success test used in this report

The LLP counts as reaching the target only when recognised monthly revenue is within the target band for at least six consecutive months, operating cash flow is positive, gross margin is at least 55%, collections are reasonably current, and no single client contributes more than 50%. The recommended safety target is stricter: no client above 35%, at least 30% recurring or contracted backlog, and three months of business overhead in cash.

Example: ₹7 lakh invoiced in one month from one implementation does not meet the definition. ₹5.5 lakh recognised each month for six months from four clients, with ₹3.6 lakh gross profit, timely collections and positive cash flow, does.

3. Important limitations and research method

What the data can and cannot answer

No identified official dataset tracks the share of newly created Indian LLPs that provide these exact services and then sustain ₹5 lakh or ₹10 lakh monthly revenue. MCA reports registrations and active entities - 5,02,522 active LLPs as at 30 June 2026 [S2] - but 'active' is a filing status, not a revenue or profitability result. Udyam data includes many sectors and informal micro enterprises; agency studies are mainly international; online founder stories have selection and survivorship bias.

Therefore, every probability in this report is an estimate range. It should be used for planning, not quoted as a government failure rate.

Evidence hierarchy

Level	Evidence	Use in this report
1	Indian statutes, MCA, MSME, Income Tax, GST, RBI, MeitY, CERT-In, DGFT	Legal structure, filing routes, tax overview, export rules, market scale and delayed payments.
2	Nasscom, ICRIER, WEF and recognised industry reports	Demand direction, adoption barriers and MSME operating constraints.
3	Large agency, consulting and sales benchmarks	Margin, specialization, sales-cycle and outreach assumptions; adjusted for a tiny Indian firm.
4	Founder and community experiences	Identify recurring practical problems. Never used alone to calculate probability.
5	This report's model	Combines survival/continuity, sales, capacity, margin, collection and diversification assumptions.

Probability model

P(sustainable target) = P(active) × P(repeatable sales | active) × P(delivery capacity) × P(positive economics) × P(client diversification).

This multiplication is not a scientifically fitted regression. It is an auditable planning model. For the realistic 36-month ₹5 lakh case, an illustrative midpoint is: 84% still active × 45% with a repeatable sales engine × 70% with enough capacity × 85% with acceptable margin/collections × 80% sufficiently diversified = about 18%. The published range is wider (16-25%) to reflect uncertain starting networks, pricing and execution.

Three scenario definitions

Assumption	Conservative	Realistic	Strong execution
Founder time	10-15 hours each/week; work frequently interrupted	15-20 hours each/week; protected sales and delivery blocks	20-25 hours each/week initially; one goes full-time after proof
Network / proof	Little network, no case study	Some professional contacts; 1-2 credible demonstrations/case studies	Warm access to buyers/partners or first client nearly committed
Sales capability	Ad hoc outreach; mostly referrals	Weekly pipeline review and multichannel outreach	One founder acts as a disciplined seller; partner/channel motion works
Positioning	General 'we build anything' message	One ICP and 2-3 outcome-focused offers	Clear niche, references and measurable business outcomes
Typical first project	₹40k-₹1.2L	₹1.2L-₹3L	₹2.5L-₹6L
Monthly named prospects	30-80	150-250 plus 8-15 warm/partner conversations	300-500 plus 15-30 warm/partner conversations
Proposal win rate	10-20%	20-35% of qualified proposals	30-45% of qualified proposals
Resourcing	Founders only; late hiring	Vetted contractors after deposits and signed scope	Repeat contractor pod, then selective full-time hire

4. Indian market opportunity

Demand is strong, but not equally easy to monetise

FACT: RBI estimated Indian software-services exports at US$204.7 billion in 2024-25, 7.3% above the previous year [S10]. FACT/INDUSTRY: Nasscom's 2024 AI Adoption Index covered 500 Indian companies; its commentary expected India's AI market to broadly mirror 25-35% global growth over the following 3-4 years [S12]. FACT: the MSME dashboard showed more than 3.36 crore service registrations within the Udyam/UAP ecosystem on 24 July 2026 [S8]. These are signals of a large addressable market, not proof that a new agency will win clients.

Service	Demand	Competition	Economics	Best way to position it
Brochure website	Steady	Very high	Low-medium project value; weak recurring revenue	Avoid generic sale. Tie to a niche, lead conversion, speed, accessibility or integration.
Website redesign	Steady	High	Medium if linked to conversion and content migration	Conversion redesign sprint with baseline metrics and post-launch support.
AI chatbot	Rising	High at demo level; lower for secure production work	Medium-high plus support/usage revenue	Sell containment, response time, lead qualification or agent productivity - not 'a chatbot'.
Workflow automation	High where processes are manual	Medium	High margin when integrations repeat	One named workflow, measured hours/error reduction, monitoring retainer.
Internal AI assistant	Rising	Medium	High value; security and adoption effort required	Narrow knowledge workflow with permissions, citations, evaluation and human escalation.
ETL / data pipeline	Strong but buyer pool is narrower	Medium	High project values; maintenance opportunity	Reliable reporting/data product for a specific system stack or industry.
Dashboards	Steady	High for basic BI	Medium; improves when data cleanup and decision workflow are included	Decision system, source-of-truth definitions and automated data refresh.
Maintenance / managed support	Attached to installed base	Medium	Recurring but capacity-sensitive	SLA tiers, defined included hours, monitoring and quarterly optimisation.

Demand and economics are this report's judgement, informed by [S10-S15]; they are not official market shares.

Recommended initial customer focus

Priority	Customer group	Why it is attractive	Caution
1	B2B SaaS and tech-enabled service firms, 10-150 employees	Understand software value; support, CRM, knowledge and reporting workflows are measurable.	Budgets can be volatile; confirm runway and authority.
2	Professional-services firms: recruitment, accounting, consulting, training	Repetitive document, lead, follow-up and reporting work; shorter decision chains.	Sensitive client data requires strong controls.
3	D2C / e-commerce firms with real order volume	Clear website, support and operational automation outcomes.	Do not promise revenue without access to baseline data and attribution.
4	Logistics, distribution and light manufacturing	Manual spreadsheet/process pain and dashboard needs can be valuable.	Longer discovery and integration; onsite context may matter.
Partner route	Design, marketing, ERP, cloud and overseas agencies needing delivery	Trust and work flow can arrive faster than direct cold demand.	Lower margin and invisible subcontracting; protect payment and portfolio rights.

India, international clients, or both?

Begin with whichever market has trust access. Indian clients can shorten discovery, references and communication, but small buyers often have lower budgets and collections may be slow. International clients can support higher prices, but add proof, contracting, security, time-zone and foreign-exchange requirements. A sensible 24-month mix is to win the first 2-3 references where access is strongest, then deliberately add one international partner/channel. Do not make the first sale depend on mastering two markets.

> Recommended niche statement: 'We help B2B SaaS and service teams reduce support and operations workload using secure AI assistants, workflow automation and reliable reporting - launched in 4-8 weeks and supported after go-live.'

5. LLP versus other business structures

Does the LLP structure change business success?

Mostly no. LLP registration improves contracting credibility, separates the entity from its partners and creates a defined governance vehicle [S3]. It can reduce some corporate formalities compared with a private company. It does not solve positioning, sales, delivery, collections or founder conflict. Poor compliance can still consume cash and block filings.

Factor	Sole proprietorship	LLP	Private limited company
Owners	One owner	Two or more partners; at least two designated partners in normal setup	Shareholders and directors
Legal identity	Owner and business are not separate in the same way	Separate legal entity [S3]	Separate legal entity
Liability	Generally personal / unlimited exposure	Generally limited to agreed contribution, subject to law, fraud and personal obligations	Generally limited to shareholding, subject to law and personal obligations
Governance	Simple but unsuitable for two equal founders	Flexible LLP agreement; no shares	More formal board/share governance; equity easier to issue
Compliance	Lowest entity-level burden	Annual MCA, tax and applicable GST/TDS; fewer company formalities	More company-law, board, annual-return and audit formalities
Tax headline	Owner's individual tax treatment	30% plus applicable surcharge/4% cess for AY 2026-27 [S3]	Company regimes differ; official AY 2026-27 page lists conditions and optional regimes
External equity	Poor fit	Possible new partners, but venture investors usually prefer shares	Best of the three for equity investment and ESOPs
Best use	Solo validation with low risk	Two-founder, profit-oriented professional service firm	Product company, external equity, ESOP-heavy growth or procurement preference

Recommendation

LLP is suitable if the plan is a two-founder, cash-generating service business that does not expect venture capital or broad employee equity soon. Choose private limited if the real strategy is to raise equity, build a scalable product or issue ESOPs. Do not choose LLP only because someone says it has 'no compliance' - it does.

Startup India recognition can include an LLP, but the entity must meet innovation or scalability conditions; the income-tax exemption is a separate application and must not be assumed [S26]. A conventional custom-development agency may or may not meet the test.

6. Estimated success-rate analysis

Modelled chance of sustaining the target for 6 months - realistic scenario

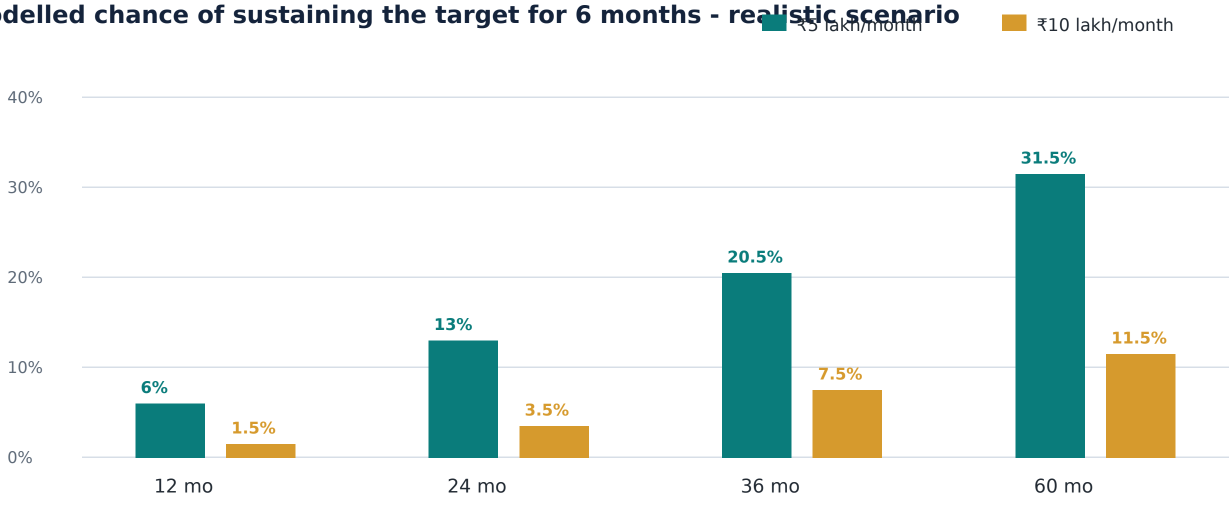

Chart uses midpoints of the realistic ranges below. All values are estimates, not observed Indian LLP statistics.

Probability of sustaining the target for six months

Horizon	Conservative: ₹5L	Realistic: ₹5L	Strong: ₹5L	Conservative: ₹10L	Realistic: ₹10L	Strong: ₹10L
12 months	1-3%	4-8%	12-20%	<1%	1-2%	3-6%
24 months	3-6%	10-16%	28-40%	<1-1%	2-5%	10-18%
36 months	5-9%	16-25%	40-55%	1-3%	5-10%	18-28%
60 months	7-13%	25-38%	50-65%	2-5%	8-15%	25-40%

Interpretation: the realistic range assumes both founders are technically competent, one consistently owns sales, the firm narrows its message, first projects are normally ₹1.2-3 lakh, and contractors are used only after deposits. The strong range assumes a material distribution advantage and a staged move to full-time. The lower edge applies when employment, health or delivery interruptions reduce consistency.

Modelled monthly-revenue outcome distribution

Each scenario table sums to 100% at each horizon. 'Inactive' includes shutdown, dormant or abandoned operation. Bands represent a sustained monthly run-rate reached around the horizon, not a one-month invoice spike.

Conservative

Outcome	Year 1	Year 2	Year 3	Year 5
Inactive / shut down	12%	25%	35%	50%
Active but under ₹1L	60%	40%	27%	14%
₹1-3L	23%	25%	24%	18%
₹3-5L	4%	7%	8%	9%
₹5-10L	1%	3%	5%	7%
Above ₹10L	0%	0%	1%	2%

Realistic

Outcome	Year 1	Year 2	Year 3	Year 5
Inactive / shut down	5%	10%	16%	28%
Active but under ₹1L	42%	22%	13%	8%
₹1-3L	35%	34%	26%	17%
₹3-5L	12%	19%	21%	18%
₹5-10L	5%	12%	18%	20%
Above ₹10L	1%	3%	6%	9%

Strong execution

Outcome	Year 1	Year 2	Year 3	Year 5
Inactive / shut down	3%	5%	8%	15%
Active but under ₹1L	20%	10%	7%	5%
₹1-3L	35%	20%	15%	10%
₹3-5L	20%	20%	15%	12%
₹5-10L	18%	32%	33%	30%
Above ₹10L	4%	13%	22%	28%

Why these ranges are not higher

- Cold outreach to net-new buyers has low reply rates. Belkins measured 0.45% replies per total email sent across 7.5 million 2025 emails; tiny firms can outperform with warmer, narrower outreach, but should not plan on 10-20% cold reply rates [S18].
- Sales cycles expand with deal size. Norwest reported roughly 2-3 months for B2B deals below US$25k annual value; small Indian owner-led projects can close faster, but enterprise procurement is slower [S17].
- Agency margins can be healthy, yet the average agency net margin in Promethean's 2024 data was 14%, far below revenue [S15].
- New business is a persistent constraint: 55% of consultancies in the 2025 BenchPress survey named it their number-one challenge, and 55% held three months or less of overhead in cash [S16].
- Part-time delivery mathematically caps billable capacity unless prices rise, work is productised, or contractors/employees are added.

Sensitivity - what changes probability most

Factor	If weak	If strong	Model impact
Warm network / partner channel	Every opportunity starts cold	5-15 relevant introductions/month	Largest early improvement to meetings and trust
Founder sales consistency	Outreach stops during delivery	Protected weekly pipeline activity	Changes lumpy work into a repeatable engine
Average project value	Below ₹1L	₹2-5L with advance and scope control	Cuts required client count and sales load
Recurring revenue	Under 10%	30-50% from retainers / managed support	Improves stability, but retainers still consume capacity
Client concentration	One client above 60%	No client above 35%	Directly affects whether target counts as sustainable
Founder availability	Both remain limited indefinitely	One goes full-time after objective gates	Critical above ₹3-5L monthly

7. Time required to reach the revenue targets

Stable monthly revenue	Conservative	Realistic	Strong execution	Main constraint
₹1 lakh	9-18 months	4-9 months	1-4 months	First proof and trusted buyer
₹3 lakh	24-48 months	10-20 months	5-10 months	Consistent pipeline and delivery scheduling
₹5 lakh	Often not reached; 36-60+ months if reached	18-36 months	9-18 months	One founder full-time or contractor pod
₹10 lakh	Unlikely without a major change	36-60+ months	18-36 months	Management, team capacity and repeatability

ESTIMATE: time starts when disciplined market activity begins, not on the LLP incorporation date.

Typical sales cycles used for planning

Buyer	Indicative cycle	What usually happens
Owner-led small business	2-6 weeks	Few decision-makers; budget and urgency dominate. Deposit should precede work.
Startup / SaaS team	3-10 weeks	Founder or functional head buys; security and integration questions appear for AI/data work.
Mid-market company	2-4 months	Budget, procurement, legal, security and vendor onboarding add delay.
Large enterprise / regulated buyer	4-9+ months	Vendor empanelment, infosec, DPA, insurance, PO and long payment terms.
Agency subcontract / partner	1-6 weeks after trust	Faster if there is immediate overflow, but margin and payment depend on the prime agency.

Ranges are planning estimates informed by [S17] and operator experience [S19]; actual cycles vary widely.

8. Revenue and client mathematics

Model	Monthly mix	Advantages	Risk / workload
Ten small retainers	10 × ₹50k = ₹5L	Diversified and predictable	Ten sets of meetings, context and support; scope leakage can destroy margin.
Five strong retainers	5 × ₹1L = ₹5L	Better focus; clearer account ownership	Each client is 20%; two losses materially hurt.
Two monthly projects	2 × ₹2.5L = ₹5L	Fewer buyers; portfolio growth	Needs continuous selling; revenue is lumpy and delivery overlaps.
Balanced ₹5L	3 retainers × ₹50k + 1 project × ₹3.5L	Base revenue plus growth project	One large project still drives 70% of the month.
Balanced ₹10L	4 retainers × ₹1L + 2 projects × ₹3L	Recurring floor plus implementations	Normally needs 4-6 delivery FTE-equivalents or high productisation.
International value model	2 clients × ₹2.5L + 1 project × ₹5L	Higher average value and fewer logos	Concentration, proof, currency, contracts and collection risk.

Capacity math for part-time founders

Assume the two founders contribute 20 hours each per week: about 173 combined hours per month. If 60% can be used for delivery after sales, admin and coordination, billable capacity is about 104 hours. At an effective realised rate of ₹1,500/hour, capacity is ₹1.56 lakh; at ₹3,000/hour it is ₹3.12 lakh; at ₹5,000/hour it is ₹5.2 lakh. This is why a part-time team cannot sustainably sell ₹5-10 lakh of custom work at low hourly value.

To exceed the founder-hour ceiling, use at least one of: outcome/value pricing, repeatable components, a paid diagnostic that reduces sales effort, contractors funded by client deposits, one founder moving full-time, or recurring monitoring/support with strict included-hours limits.

Illustrative monthly acquisition funnel - realistic execution

150-250 named prospects researched

4-12 replies or conversations

3-6 qualified discovery calls

0.5-1.2 new clients

Funnel calculation: 150-250 carefully named prospects plus warm and partner activity can produce roughly 3-6 qualified calls, 1.5-4 proposals and 0.5-1.2 wins per month when the message and proof are good. The cold portion may perform much worse: Belkins' strict 2025 benchmark was 0.45% replies per total send [S18]. These are planning ranges; track your own conversion by source after the first 100 prospects.

9. Real founder experiences and case studies

These accounts are illustrative, not statistical proof. Online communities over-represent unusually good, bad or memorable outcomes and identities are not independently verified.

Experience	What happened	Planning lesson
Agency grew from 2 to 20 engineers	A commenter who worked there said founders brought years of employer/agency relationships, were active on social media and meetups, and treated sales as a major job [S19].	Technical ability was not the initial distribution advantage; prior relationships and visible expertise were.
Boutique ML agency hit a scaling ceiling	An operator said the advice matched their experience building a boutique ML agency but they did not solve scaling beyond about five people [S19].	₹5-10L revenue is not only a client problem; management, process and team leverage become a second business.
Ten-year agency operator	An operator described the business as overwhelmingly sales and networking, saying a base of 10-20 happy customers eventually supported referrals [S19].	Build references deliberately; do not pause sales when delivery becomes busy.
Late-payment lesson	A founder advised time-and-materials for uncertain work, precise late-payment terms and stopping work before debt accumulates [S19].	Advance and milestone billing protect more cash than a polite reminder after six months.
Specialized pitch example	A commenter contrasted generic website development with a niche website offer tied to gym sign-ups and existing systems [S19].	Niche means a buyer-specific reason to choose you, not merely fewer technologies.
Consultancy benchmark - unsuccessful pattern	In the 2025 BenchPress sample, only 62% grew despite 83% expecting growth; 55% called new business the top challenge and 55% held three months or less of overhead in cash [S16].	Forecasts must be constrained by pipeline and cash, not optimism.
Agency benchmark - successful pattern	Promethean found specialists grew 43% faster than the average in 2024 and connected specialization with clearer positioning, pricing power and repeatable delivery [S15].	Choose a narrow starting market and service system, then expand only after repeatability.

What not to copy from success stories

- Do not infer a base-rate probability from one agency's revenue screenshot or founder interview.
- Do not copy international prices without accounting for proof, buyer risk and procurement.
- Do not treat headcount as growth; unprofitable delivery and receivables can increase while revenue rises.
- Do not assume a founder's current network was absent at the start simply because the story says 'bootstrapped'.

10. Major reasons for failure or stagnation

Ranking combines the direct mechanics of a small technical service firm, MSME evidence on market/finance constraints [S7, S9], agency benchmarks [S15-S16], and recurring operator experiences [S19]. It is a risk-priority judgement, not an observed frequency table for Indian LLPs.

A. Market and sales risks

Rank / problem	What it looks like and why it happens	Early warnings	Prevent / recover
1. No repeatable client acquisition	Founders wait for referrals, send occasional generic messages, then stop selling during delivery.	Fewer than 3 qualified calls/month; empty pipeline 60 days ahead; activity is not tracked.	Name one sales owner; weekly activity target; track source-to-win; restart with 50 past contacts, 20 partner asks and a narrow outbound list.
2. Generalist positioning	Website + AI + chatbot + ETL + anything else is presented as one list. Buyers cannot see why this firm is safer.	Price is the first question; low reply rate; proposals compare hours only.	Choose one ICP, pain and proof; package 2-3 offers. Keep broader capability behind the message, not in the headline.
3. Weak sales and follow-up	A good technical call ends without budget, authority, urgency, next step or scheduled follow-up.	Many 'interested' leads; proposals sent without review call; no response after 7 days.	Use qualification checklist; schedule next step live; follow up at day 2, 5, 10, 20 and close the file at day 30.
4. Competing mainly on price	Founders discount to compensate for no proof, then cannot fund quality or sales.	Win rate rises only after discounts; realised rate drops; every scope feels stressful.	Sell risk reduction and outcome; paid audit; minimum project price; decline buyers who cannot fund the required result.
5. No case studies or measurable outcome	Portfolio says what was built, not what improved. AI demos are shown without accuracy, adoption or ROI evidence.	Buyer asks for similar work and receives screenshots only.	Create a before/after case page with baseline, intervention, safeguards, result and client quote; offer a controlled pilot to obtain proof.
6. Selling AI beyond readiness	A chatbot demo is promised as production automation without data quality, evaluation, escalation, security or ongoing cost.	Unknown model/API cost; no test set; hallucination complaints; client users bypass it.	Start with one workflow; human handoff; evaluation dataset; logging; usage cap; data map; monthly quality report.

B. Commercial and cash-flow risks

Rank / problem	What it looks like and why it happens	Early warnings	Prevent / recover
7. Underpricing and invisible delivery cost	Quote excludes meetings, QA, deployment, warranty, revisions, cloud and founder management.	Gross margin below 55%; hours exceed estimate by 25%+; founders work unpaid weekends.	Estimate by work breakdown and risk; add 15-25% contingency; track project P&L weekly; reprice new work immediately.
8. Unclear scope and scope creep	Requirements stay verbal; 'small changes' accumulate; approval is subjective.	More than two revision rounds; acceptance moves; messages conflict with proposal.	Signed SOW with deliverables, exclusions, assumptions and acceptance; change request with price/time impact; stop disputed extras.
9. Delayed payments	Work continues while invoices age. Founders finance the client and contractor payroll.	PO missing; invoice rejected on admin detail; DSO above 45 days; client avoids finance contact.	40-50% advance for small projects; milestone billing; PO before start; overdue stop-work right. MSME delayed-payment mechanisms exist but prevention is faster [S7].
10. One-client dependency	One client funds most revenue, demands priority and can end the firm with one notice.	Any client above 50%; no sales while account is busy; team skills become client-specific.	Cap target at 35%; keep sales active; three-month notice on retainers where possible; build reserve before losing the account.
11. Poor cash discipline	Revenue is treated as distributable cash; GST/TDS/tax and contractor commitments are ignored.	Tax account underfunded; founder withdrawals vary; payroll depends on an overdue invoice.	Weekly 13-week cash forecast; separate tax reserve; collections owner; six months overhead plus committed delivery buffer before hiring.
12. Hiring or tool spending too early	Office, full-time team and subscriptions are bought before utilisation or recurring demand.	Bench above 20%; software unused; fixed overhead >25% of dependable revenue.	Use contractors against paid scope; approve tools only with owner/use/ROI; delay office; remove unused subscriptions monthly.

C. Delivery, founder and compliance risks

Rank / problem	What it looks like and why it happens	Early warnings	Prevent / recover
13. Delivery quality or missed dates	Sales promises outrun capacity; no QA, backup, documentation or release gate.	Milestones slip twice; defect leakage rises; client asks for daily status.	Capacity planning; weekly risk log; peer review; staging; acceptance tests; reset plan transparently before the deadline.
14. Founder misalignment / 50:50 deadlock	Titles are clear but authority, effort, money, exit and dispute rules are not.	Repeated disagreement; unapproved spend; one founder carries invisible work.	Detailed LLP agreement and operating charter; reserved matters; workload review; buyout/exit formula; mediator/arbitration path.
15. Part-time burnout	Both founders work jobs, sell, deliver and support nights/weekends without service limits.	Delayed replies, health/sleep decline, missed employer duties, resentment.	Limit concurrent work; no 24/7 SLA; defined availability; contractor bench; pause sales of bespoke projects before capacity breaks.
16. Employer / IP conflict	Client work overlaps employer business, time, devices, data, code or contractual restrictions.	Secrecy required; same customer/industry; employer repository or laptop is involved.	Written contract/policy review; obtain approval if required; separate equipment/accounts; reject conflicts; lawyer review before registration/client work.
17. Data-security or privacy failure	Client personal data is pasted into unapproved AI tools; credentials are shared; logs expose sensitive data.	No data map/DPA; shared passwords; production access persists after project; no incident owner.	Least privilege, client-approved subprocessors, DPA, secrets manager, logging/redaction, deletion/handover, incident plan [S21-S22].
18. LLP/GST/TDS filing failure	Founders assume a dormant or loss-making LLP has no filings. Notices, additional fees or blocked actions follow.	No calendar/CA owner; bank and books unreconciled; Form 3/8/11 or returns are late.	Annual compliance calendar; monthly books; CA+CS review; close inactive entity formally rather than ignoring it.

11. Recommended service and niche strategy

Sell these three first

Offer	Why first	Target / problem	Outcome
AI & Automation Opportunity Sprint	Low delivery risk; paid discovery; reveals valuable implementation and filters unserious buyers.	B2B SaaS or service team with manual support/operations but unclear priority.	Workflow map, data/risk review, ROI range, ranked backlog and implementation plan in 1-2 weeks.
Customer Operations Automation	Clear business value and recurring monitoring/support; combines AI and integrations.	Support, onboarding or lead operations with repetitive work across inbox, CRM and knowledge base.	One live workflow, human handoff, monitoring and measured time/response improvement in 4-8 weeks.
Reliable Reporting Pipeline	Higher-value technical work; less commoditised than a basic dashboard; natural maintenance.	Teams manually combining CRM, product, finance or operations data.	Automated pipeline, metric definitions, dashboard, alerts and runbook in 4-10 weeks.

Keep website redesign as a fourth offer for clients where conversion, product messaging, support deflection or integration is a measurable part of the same customer journey. Do not lead with a generic 'business website' in a crowded market [S15].

Indicative package catalogue

Package	Deliverables / time	India price	International price in ₹ equivalent	Est. delivery cost	GM / recurring / upsell
AI & Automation Audit	Interviews, 3-5 workflow maps, data/security risks, ROI range, 90-day plan; 1-2 weeks	₹50k-₹1.5L	₹1.25L-₹3.5L	15-30%	70-85%; implementation, training, quarterly optimisation
Conversion Website Redesign	Research, IA, UI, responsive build, analytics, migration; 4-8 weeks	₹1.5L-₹4L	₹3L-₹8L	25-40%	60-75%; CRO, content, maintenance
Business Website	5-10 pages, CMS, forms, SEO basics, analytics; 3-6 weeks	₹1L-₹3L	₹2.5L-₹6L	25-40%	55-75%; support, integrations
AI Support Assistant	Knowledge ingestion, RAG, permissions, citations, handoff, eval, monitoring; 4-8 weeks	₹2L-₹6L	₹5L-₹15L	25-45% + usage	55-75%; ₹40k-₹1.2L/month support/quality
Internal AI Assistant	One knowledge workflow, access controls, evaluation, training; 6-12 weeks	₹3L-₹10L	₹8L-₹25L	30-50% + usage	50-70%; new departments, managed evaluation
Workflow Automation	One multi-system workflow, error handling, audit log, runbook; 3-8 weeks	₹1.5L-₹5L	₹4L-₹12L	20-40%	60-80%; ₹30k-₹1L/month monitoring
ETL / Data Pipeline	2-5 sources, transformations, orchestration, tests, alerts, runbook; 6-12 weeks	₹3L-₹12L	₹8L-₹30L	30-50%	50-70%; sources, SLA, managed data ops
Dashboard & Reporting	Metric workshop, model, dashboard, refresh, training; 3-8 weeks	₹1.5L-₹5L	₹4L-₹12L	25-45%	55-75%; pipeline, new metrics, monthly review
Maintenance & Support	Defined hours, SLA, monitoring, backups, monthly report; ongoing	₹25k-₹1L/month	₹80k-₹3L/month	30-55%	45-70%; optimisation and enhancement backlog

ESTIMATES, not market tariffs. Price after discovery. International values are expressed in rupees as requested; exchange rates and taxes are not assumed.

Pricing guardrails

- Quote the smallest outcome that can be accepted, not an open-ended transformation.
- Separate discovery, implementation, third-party usage, warranty and ongoing support.
- Set a minimum project gross-margin target of 60%; approve exceptions only for a named strategic reason.
- For fixed price, document assumptions and add 15-25% risk contingency.
- Retainers must define included hours, response times, exclusions and rollover; unlimited support is not a package.

12. Pricing and financial model

Lean setup budget

Cost	Indicative amount	Essential now?	Comment
LLP incorporation, filings and professional help	₹12k-₹35k	Yes	Varies by contribution, provider and state; do not rely on an advertisement headline.
DSCs, name, stamp duty / LLP agreement	₹4k-₹25k+	Yes	Stamp duty varies by state and contribution. Confirm with CS/lawyer.
LLP agreement legal review	₹10k-₹40k	Strongly recommended	Founder exits and deadlocks cost more to fix later.
Domain, email, simple site and portfolio	₹5k-₹20k/year	Yes	A credible site and case-study proof; no large brand project.
Accounting / bookkeeping setup	₹5k-₹20k	Yes	Chart of accounts, invoice format, expense and tax workflow.
Insurance	₹10k-₹60k/year	Case dependent	Professional indemnity/cyber may be required by larger clients.
Office, paid ads, full CRM, premium tools	₹0 initially	Postpone	Use remote work and the smallest useful stack.

Practical initial cash envelope: ₹40,000-₹1,25,000 for a careful two-founder setup, excluding personal runway and expensive state stamp duty. Keep business registration separate from the decision to hire or rent an office.

Essential monthly overhead before delivery labour

Category	Lean monthly range	Control
Accounting, compliance accrual and banking	₹5k-₹15k	Accrue annual filings/tax work monthly.
Email, domain, CRM, meetings, e-sign	₹2k-₹8k	Start free/low tier; one owner per tool.
Cloud, monitoring and internal automation	₹2k-₹15k	Project-specific use is billed to client.
Sales research, travel and communities	₹3k-₹20k	Spend where buyer conversations occur, not broad impressions.
Legal / security / insurance accrual	₹2k-₹12k	Increase for international or regulated work.
Total lean base	₹14k-₹70k	A founder-led firm should stay near the lower half until repeatability.

Worked monthly P&L examples

Revenue level	Example client mix	Direct delivery cost	Gross profit / margin	Overhead*	Pre-tax operating surplus**	Likely delivery team
₹1L	1 small project or 2 × ₹50k retainers	₹20k	₹80k / 80%	₹25k	₹55k	Founders only
₹3L	₹2L project + 2 × ₹50k retainers	₹75k	₹2.25L / 75%	₹55k	₹1.70L	Founders + specialist freelancer
₹5L	₹3L project + 4 × ₹50k retainers	₹1.50L	₹3.50L / 70%	₹90k	₹2.60L	1 full-time-equivalent founder + 1-2 contractors
₹10L	2 × ₹3L projects + 4 × ₹1L retainers	₹3.50L	₹6.50L / 65%	₹2.20L	₹4.30L	4-6 delivery FTE-equivalents incl. founders

**Overhead excludes discretionary partner drawings/remuneration in this simplified management view. **Before LLP income tax and partner distribution; real treatment depends on the deed and tax rules. ESTIMATES only.*

The Income Tax Department lists an LLP rate of 30% for AY 2026-27, a 12% surcharge above ₹1 crore taxable income, 4% health and education cess, and possible AMT conditions [S3]. This is not a simple 31.2% tax on revenue: tax applies to taxable income after allowable deductions and subject to detailed rules. Partner remuneration/interest and profit share require correct drafting and accounting. Obtain a CA's projection before setting founder withdrawals.

Cash and runway rules

- Business reserve before the first employee: six months of fixed business overhead plus two months of committed contractor/payroll cost.
- Personal reserve before one founder resigns: at least nine months of essential household expenses, kept outside the LLP.
- Tax reserve: transfer the CA-advised share of collections to a separate tax account; do not spend GST collected.
- Receivables: review weekly; target collection within 30 days; no work beyond the contractual stop threshold.
- Founder distributions: pay a steady policy amount, not whatever bank balance remains after a large invoice.

13. Client-acquisition system

Sample ideal customer profile (ICP)

Field	Starting ICP
Company	B2B SaaS or tech-enabled professional-service firm, 10-150 staff
Buyer	Founder/COO/Head of Support/Operations/Data
Trigger	Support backlog, manual onboarding, fragmented knowledge, spreadsheet reporting or a visible integration gap
Economic pain	At least 80 staff-hours/month, slow customer response, missed revenue or management decisions made from stale data
Readiness	Named process owner, usable source data, budget of ₹1.5L+ and willingness to measure a baseline
Disqualifiers	No owner, 'build now and we will decide later', wants copied credentials/data, cannot pay advance, asks for revenue guarantee

Channel portfolio

Channel	Monthly activity (realistic)	Role in pipeline	Rule
Past colleagues / professional network	20 thoughtful reconnections; 5 specific introduction asks	Highest-trust early opportunities	Do not mass-pitch; ask about a named problem.
Client referrals	Ask every successful client at milestone and close	Compounding trust	Make the ideal introduction specific.
LinkedIn	40 useful comments, 8 short insight posts, 60 targeted conversations	Visibility and direct contact	Show teardown/case evidence, not generic AI news.
Targeted email	100-180 highly selected accounts, 3-5 touches	Reach beyond network	Relevance, lawful contact handling and opt-out; no scraped spam blast.
Agency / platform partners	10-20 relationship conversations	Overflow implementation and white-label work	Agree margin, client ownership, portfolio and payment terms.
Founder communities / events	2-4 events; 4 follow-up conversations each	Trust and problem discovery	Teach something useful; follow up within 48 hours.
Freelance platforms	10-20 high-fit proposals	Proof and early cash	Avoid commodity bidding; move to company contract where permitted.
Content / case studies	1 deep case or teardown/month	Inbound proof across all channels	Include baseline, decision and result.

Monthly funnel required

Target state	Named prospects / warm conversations	Replies / active conversations	Discovery calls	Proposals	Wins	Average new deal
Build toward ₹3L	100-150 + 8 warm	5-10	3-5	2-3	0.5-1	₹1.2-₹2.5L
Build toward ₹5L	150-250 + 10-15 warm	8-16	4-7	2-4	0.7-1.3	₹2-₹3.5L
Build toward ₹10L	300-500 + 15-30 warm/partner	15-30	8-14	4-8	1.2-2.5	₹3-₹5L

ESTIMATE: not all prospects are cold emails. Cold-only reply performance may be far lower [S18]. Wins and recognised revenue are separated by sales cycle, advance, delivery and acceptance.

Qualification questions

- What process or outcome is currently failing, slow or expensive?
- What is the baseline volume, time, error, conversion or cost?
- Who owns the process and who approves budget/security/legal?
- Why now? What happens if nothing changes in six months?
- Which systems, data and permissions are involved?
- What must be true for the project to be accepted?
- What budget range and decision date are realistic?
- Has another vendor or internal team attempted this? What happened?

Discovery call checklist

[ ] Confirm the decision-maker, process owner and all reviewers.
[ ] Map current workflow, frequency, inputs, outputs, exceptions and handoffs.
[ ] Quantify baseline and expected business result; avoid a feature-only discussion.
[ ] Identify personal data, confidential data, credentials, regulated systems and approved vendors.
[ ] Agree a narrow first phase, acceptance evidence and exclusions.
[ ] Confirm budget, procurement, PO, payment, target date and next meeting.
[ ] Send written summary within 24 hours; correct misunderstandings before proposal.

Proposal structure

[ ] Executive problem and measurable baseline
[ ] Desired outcome and success measures
[ ] Scope, deliverables and explicit exclusions
[ ] Approach, assumptions, dependencies and client responsibilities
[ ] Timeline, milestones, acceptance and change-control process
[ ] Security, data handling, access and subprocessors
[ ] Price, taxes, third-party usage and payment schedule
[ ] Warranty/support options, validity and next-step meeting

Follow-up sequence

Timing	Purpose	Example action
Same day	Confirm	Send call summary, owner, next step and date.
Day 2 after proposal	Clarify	Ask what needs clarification; offer 20-minute review.
Day 5	Re-anchor value	Send one relevant proof, risk answer or revised option.
Day 10	Resolve decision blocker	Ask whether budget, timing, authority or scope is blocking.
Day 20	Create a clean decision	Offer to revise start date or close the opportunity.
Day 30	Close / nurture	Mark closed-lost or schedule a real future trigger; stop vague chasing.

Client red flags and when to reject

- Refuses advance or PO but requires immediate start.
- Cannot identify an accountable approver or acceptance standard.
- Asks you to use personal accounts, copied credentials, unlicensed content or unlawfully obtained data.
- Demands unlimited revisions, guaranteed revenue or fixed price before discovery.
- Known payment complaints, active insolvency concern or inconsistent company identity.
- Work conflicts with an employer restriction or would require employer code/data/time.
- Expected gross margin below 50% with no explicit strategic reason.

14. Founder roles and partnership structure

Do not make ownership, profit share, work expectations and voting one accidental 50:50 bundle. They solve different problems and should be written separately.

Recommended two-founder design

Topic	Recommended rule
Ownership / profit share	Agree after discussing cash, prior IP, network, time commitment and risk. 50:50 can work only with deadlock and exit rules.
Capital contribution	Record committed amount and due date per partner. Additional capital needs written approval and must specify loan versus contribution.
Partner remuneration / drawings	Set only in the LLP agreement and board/partner records as professionally advised. Use a monthly policy plus quarterly true-up, not ad hoc withdrawals.
Expense reimbursement	Business purpose, receipt, category and approval. Personal expenses never run through the LLP.
Workload	Define minimum weekly commitment while employed; review monthly. Rebalance remuneration or role before resentment becomes ownership conflict.
Decision rights	Functional owner decides within approved budget. Reserved matters need both founders.
Spending	Budget owner up to ₹10k; joint approval above ₹25k or any unbudgeted recurring commitment. Adjust thresholds with scale.
Deadlock	Written issue memo → founder meeting → independent adviser/mediator → buy-sell/exit mechanism. No permanent paralysis.
Underperformance	Written expectation, 30-day cure plan, role/remuneration change, then exit/buyout mechanism if unresolved.
New partner / exit	Unanimous approval; valuation/formula, notice, client handover, IP, confidentiality and payment treatment in deed.
Client ownership	Clients and contracts belong to the LLP. A relationship origin can be recognised in incentives but does not create private ownership.
IP	All project/company IP created for LLP work is assigned to LLP, subject to client contract and documented pre-existing tools.

Founder responsibility matrix

Area	Sales/operations founder	Technical founder	Both / escalation
ICP, positioning, outreach	Accountable	Consulted for technical truth	Quarterly niche decision
Discovery and proposal	Owns call, commercial scope and follow-up	Owns solution, estimate, risks	Approve fixed-price/high-risk proposal
Contract, PO, invoice, collection	Accountable	Informed; supports acceptance evidence	Both approve material liability
Architecture, delivery, QA, security	Informed; manages client expectations	Accountable	Both approve go-live risk
Capacity and contractors	Pipeline forecast and budget	Skill selection and work review	Both approve commitment above threshold
Books, GST/TDS/MCA calendar	Accountable with CA/CS	Provides project cost/data	Both certify accuracy/solvency as required
Hiring and founder transition	Commercial case	Capacity/quality case	Unanimous decision
Client health and renewal	Accountable for relationship/renewal	Accountable for technical value	Quarterly account review

Reserved matters requiring both founders

- Change to contribution, profit share, partner remuneration or LLP agreement
- Debt, guarantee, new partner, related-party transaction or material legal settlement
- Hiring full-time staff or recurring spend above the agreed threshold
- Contract with unlimited liability, broad indemnity, unusual IP transfer or exclusivity
- Founder leaving employment, closing the LLP, selling assets or changing the core business

15. LLP legal and compliance checklist

Core LLP setup and annual calendar

Item	Plain-language action	Typical timing / owner	Professional confirmation
Name + FiLLiP incorporation	Reserve/use approved name and incorporate through MCA route [S1].	Before trading; CS	CS
Designated partners / DSC	Maintain required designated partners, identity and digital-signature readiness.	Before incorporation and ongoing; founders/CS	CS
LLP agreement + Form 3	Write contribution, profit, authority, remuneration, IP, exit and dispute rules; file required agreement information.	Soon after incorporation within the applicable legal deadline; lawyer/CS	Lawyer + CS
Books and bank	Open business account; record every invoice, receipt, expense, tax and partner transaction.	From day one; operations + CA	CA
Form 11	Annual return even when business is small or inactive.	Normally within 60 days of FY end; commonly 30 May; verify extensions [S1].	CS
Form 8	Statement of account and solvency.	Normally after the first six months of FY; commonly 30 Oct; verify current rules [S1].	CA/CS
Statutory audit	LLP Rules historically use turnover/contribution thresholds; the target business quickly crosses the usual turnover level.	Annual if applicable	CA + CS; confirm current threshold
ITR-5 / income tax	LLPs use ITR-5; compute taxable income, advance tax and applicable AMT [S3].	Annual/quarterly as applicable	CA
GST	Register when required; issue compliant invoices, file returns and reconcile input/output tax.	Monthly/quarterly/annual based on scheme	CA/GST practitioner
TDS	Deduct/deposit/report where applicable. From 1 Apr 2026 the new Act uses consolidated section numbering while rates/thresholds broadly continue [S27].	At payment/credit and periodic filing	CA
Partner KYC / changes	Keep partner, office, contribution and agreement changes filed on time.	Event based / annual	CS

Do not rely on an old blog saying every LLP late fee is a flat ₹100/day. MCA's fee framework has changed and can depend on the form, delay and small-LLP status. Ask the CS to calculate the live portal fee before any delayed filing. The correct control is to file on time, not to estimate the penalty.

GST, invoicing and collections

CBIC's service threshold is ₹20 lakh aggregate turnover in most states and ₹10 lakh in Manipur, Mizoram, Nagaland and Tripura [S4]. Exceptions, inter-state/export facts, voluntary registration and place-of-supply details can change the result. At ₹5 lakh monthly revenue the annualised turnover is ₹60 lakh, so GST readiness should be treated as an early requirement rather than a distant issue.

- Invoice legal name, LLPIN, address, GSTIN if registered, unique number/date, place of supply, service description, SAC/tax, payment terms and bank details.
- Track invoice, tax, TDS deducted by client, amount received, credit note and outstanding balance separately.
- GST collected is not business income. Reconcile books, GSTR-1/3B and bank receipts with the CA.
- Use Udyam registration where eligible; it is free and self-declaration based [S6]. The 2025-26 MSME report states micro limits of ₹2.5 crore investment and ₹10 crore turnover from 1 Apr 2025 [S7].
- For micro/small enterprises, delayed-payment law and Samadhaan/ODR mechanisms may assist, but contracts, advances and early collection remain essential. The portal had 2,56,892 applications involving ₹55,244.31 crore by 31 Dec 2025 [S7].

Contracts and statements of work

Document / clause	Minimum content
Master services agreement	Parties, ordering, confidentiality, IP, warranties, liability, indemnities, termination, disputes, law, notices and subcontracting.
Statement of work	Deliverables, exclusions, assumptions, dependencies, timeline, milestones, acceptance, change control, price and payment.
NDA	Definition, permitted use, access, exclusions, duration, return/deletion and compelled disclosure. Avoid replacing the full service contract with an NDA.
IP schedule	Client-owned deliverables, LLP pre-existing tools, open-source, third-party assets, licence, source-code handover and payment condition.
DPA / security schedule	Roles, data categories/purpose, approved systems/subprocessors, safeguards, breach escalation, rights support, retention/deletion and audit evidence [S21].
Support / SLA	Hours, severity, response/restore target, exclusions, maintenance windows, dependencies, included effort and service credits/caps if agreed.

AI, privacy and security minimums

[ ] Do not place client data into an AI/model service until the client approves the provider, region, retention/training settings and purpose.
[ ] Use least-privilege named accounts, MFA, secrets management and access expiry; never share production passwords in chat.
[ ] Create a data map and deletion/handover record for every AI/data project.
[ ] Evaluate accuracy, harmful output, data leakage and human escalation using an agreed test set before go-live.
[ ] Maintain an incident contact tree. CERT-In directions cover reportable incidents and security/logging duties for relevant entities [S22]; obtain counsel/security advice for applicability.
[ ] DPDP Act/Rules implementation is now a live planning requirement [S21]. Contractual allocation does not remove the client's or vendor's statutory duties.

International clients and foreign receipts

Issue	Practical action
Export-of-service GST	Confirm place of supply, recipient, payment and related-party facts. Registered exporters commonly furnish LUT before zero-rated supply without IGST [S5].
Contract and invoice	State currency, taxes, payment fees, bank/intermediary details, governing law, IP, data transfer, sanctions and withholding documentation.
Foreign exchange records	Retain contract, invoice, bank advice/FIRC-equivalent, receipt mapping and correspondence; use an authorised dealer bank/payment provider.
IEC	DGFT states IEC is generally not necessary for services exports unless claiming benefits under the Foreign Trade Policy [S24]. Confirm for your exact transaction.
SOFTEX	RBI states SOFTEX applies to software not exported as goods and does not include IT-enabled services merely using IT as a tool [S25]. Ask the AD bank/STPI about your deliverable.
FEMA transition	RBI's new 2026 export/import regulations are scheduled from 1 Oct 2026 [S23]. This report date is before that; confirm the rule in force on each invoice/receipt.
Withholding abroad	Ask the client for documentation and obtain CA advice on treaty, foreign tax credit and permanent-establishment risk.

Matters that require professional confirmation

- State stamp duty, LLP agreement drafting, contribution and profit/remuneration treatment
- MCA form deadlines, certification, audit threshold, small-LLP status and current additional fees
- GST registration/place of supply/export/LUT, invoice tax and return frequency
- Income tax, advance tax, AMT, partner remuneration/interest, TDS and 2026 Act transition
- Employment/moonlighting, non-solicit, confidentiality and employer IP ownership
- DPA, cross-border data, regulated-sector and CERT-In obligations
- FEMA, SOFTEX/EDPMS, export-realisation records, IEC and foreign withholding

16. Project-delivery system

Standard workflow from lead to retainer

Step	Gate / output	Owner
1. Lead qualification	ICP, pain, authority, urgency, budget and conflict screen	Sales founder
2. Discovery call	Current process, baseline, stakeholders, data/security and next step	Sales + technical
3. Requirement gathering	Workflow, user stories, non-functional needs, dependencies	Technical founder
4. Proposal	Outcome, scope/exclusions, timeline, price, assumptions and options	Sales; technical approves
5. Contract / SOW	Signed MSA/SOW/DPA; legal and liability review	Sales + lawyer if needed
6. Advance / PO	Cleared advance and purchase-order/vendor setup	Operations
7. Planning	Milestones, RACI, risk register, environments and communication	Technical
8. Development	Small demos, code review, secure configuration, time/cost tracking	Technical
9. Testing	Functional, security, data, performance and recovery evidence	Technical / reviewer
10. Client approval	Acceptance checklist signed or defects logged	Sales + client owner
11. Final payment	Invoice per milestone; withhold final production handover only as contracted	Operations
12. Deployment	Rollback, backup, monitoring, access and change window	Technical
13. Documentation	Architecture, admin, runbook, credentials transfer and known limits	Technical
14. Support / warranty	Defined defect period and support channel; enhancement is separate	Technical + sales
15. Testimonial / referral	Outcome evidence, permission and specific introduction ask	Sales
16. Retainer offer	SLA, monitoring, included hours, optimisation backlog and quarterly review	Sales + technical

Commercial controls

Control	Recommended default
Advance	50% for projects below ₹3L; 30-40% for larger work with short milestones. Never start on a promise.
Milestones	Tie to observable outputs: discovery sign-off, staging demo, acceptance, go-live/handover.
Change request	Written description, reason, price, schedule and dependency impact; approved before work.
Communication	Weekly status with completed/next/risks/decisions/budget; urgent channel only for defined severity.
Acceptance	Objective tests and review window; deemed acceptance only if legally reviewed and commercially appropriate.
Warranty	15-30 days for defects against agreed scope; excludes new requirements, third-party changes and misuse.
Source code / IP	State what transfers, when (often after full payment), pre-existing components, open-source obligations and licence.
Handover	Code, deployment, data/export, documentation, access revocation, backup and signed completion.
Maintenance	Tiered SLA, included effort and monthly report; separate third-party/API/cloud usage.

Quality and security release gate

[ ] Scope and acceptance tests traced to delivered features
[ ] Peer review completed; secrets and client data absent from repository/logs
[ ] Automated/manual tests passed; known defects documented and accepted
[ ] Backups and rollback tested; monitoring and alert contacts active
[ ] Permissions least privilege; temporary access and test accounts removed
[ ] AI evaluation baseline, failure cases and human fallback approved
[ ] Runbook, architecture, admin guide and credential handover complete
[ ] Invoice/acceptance status confirmed before final transfer under the contract

17. 24-month roadmap

This is a decision-gated roadmap, not a promise. The revenue figures are exit-rate targets for each month. Stay in a phase until its evidence gate is met; do not hire or leave employment merely because the calendar says so.

Month	Phase / main objective	Priority activities	Exit-rate revenue / clients	Gate and main risk
1	Validation	Employer and founder checks; 20 interviews; choose one ICP and pain.	₹0 / 0	Gate: 10 repeated pains. Risk: building before demand.
2	Validation	Define 2-3 packages; create sample audit, scope and pricing floor.	₹0-₹25k / 0-1	Gate: 5 prospects accept discovery. Risk: broad offer.
3	First client	Warm outreach; 3-5 calls; sell a paid audit or small fixed pilot.	₹25k-₹75k / 1	Gate: paid work, not praise. Risk: free consulting.
4	First proof	Deliver tightly; measure baseline/outcome; request testimonial/referral.	₹50k-₹1L / 1-2	Gate: acceptance and collection. Risk: scope creep.
5	Repeatable sales	150 named prospects; 8 warm asks; one useful case-study asset.	₹75k-₹1.25L / 1-2	Gate: 3 qualified calls/month. Risk: inconsistent outreach.
6	Repeatable sales	Run one niche campaign; partner with two agencies/consultants.	₹1-₹1.5L / 2	Gate: second non-related client. Risk: referral dependence.
7	Stable delivery	Standard discovery, SOW, QA and weekly status; track project margin.	₹1.25-₹1.75L / 2-3	Gate: ≥60% project GM. Risk: rework.
8	Stable delivery	Raise floor price; decline red flags; build reusable components.	₹1.5-₹2L / 2-3	Gate: 2 projects on time. Risk: underpricing.
9	Recurring revenue	Attach support/monitoring/optimisation to every delivery.	₹1.75-₹2.25L / 3	Gate: ₹40k MRR. Risk: disguised unlimited support.
10	Recurring revenue	Quarterly reviews; outcome dashboard; renewal and upsell rhythm.	₹2-₹2.5L / 3-4	Gate: 20% recurring. Risk: low-value retainers.
11	Capacity proof	Measure utilisation and backlog; test one vetted contractor.	₹2.25-₹2.75L / 3-4	Gate: contractor passes paid trial. Risk: quality leakage.
12	Year-one review	Review concentration, collections, margins, founder hours and niche.	₹2.5-₹3L / 3-5	Gate: 3-month positive cash flow. Risk: scaling vanity.
13	Focused growth	Double down on best vertical/package; publish second quantified case.	₹2.75-₹3.25L / 4-5	Gate: 50% pipeline from focus. Risk: distraction.
14	Sales system	CRM hygiene; weekly pipeline review; partner and outbound lanes.	₹3-₹3.5L / 4-5	Gate: ≥3x qualified pipeline. Risk: optimism bias.
15	Contractor support	Delegate bounded delivery modules; maintain architecture and review.	₹3.25-₹3.75L / 4-6	Gate: ≥65% blended GM. Risk: uncontrolled subcontracting.
16	Productised delivery	Templates, automation, test packs, runbooks and fixed assumptions.	₹3.5-₹4L / 4-6	Gate: cycle time down 15%. Risk: false standardisation.
17	Recurring growth	Sell managed AI/data operations with limits and monthly outcomes.	₹3.75-₹4.25L / 5-7	Gate: 25-30% recurring. Risk: support overload.
18	₹5L readiness	Stress-test capacity, cash and client concentration; decide full-time move.	₹4-₹4.75L / 5-7	Gate: job-exit checklist. Risk: premature resignation.
19	Target attempt	One founder full-time if gate passed; increase calls, not generic spend.	₹4.5-₹5L / 5-8	Gate: ₹5L booked/near-booked. Risk: sales gap.
20	Stabilise ₹5L	Protect delivery; collect milestones; replace low-margin custom work.	₹5L / 5-8	Gate: first ₹5L month. Risk: mistaking spike for run rate.

Month	Phase / main objective	Priority activities	Exit-rate revenue / clients	Gate and main risk
21	Sustainability	Renew retainers; document dependencies; cross-train contractor.	₹5-₹5.5L / 5-8	Gate: 3 months ≥₹5L. Risk: key-person failure.
22	Diversification	Cap any client at 30%; add a second acquisition channel.	₹5-₹6L / 6-9	Gate: top client ≤30%. Risk: concentration.
23	Scale decision	Model ₹10L capacity, management load, working capital and hiring.	₹5.5-₹6.5L / 6-9	Gate: ≥6 months runway. Risk: fixed-cost jump.
24	Year-two review	Audit six-month run rate, profit, founder income, quality and pipeline.	₹6-₹7L / 6-10	Gate: choose profitable niche scale, not revenue alone.

ESTIMATE. A part-time start can take longer; faster execution requires existing demand and delivery capacity. Monthly project revenue will be uneven, so evaluate three- and six-month averages.

Three founder-availability plans

Operating mode	Capacity and realistic focus	When appropriate	Revenue implication / control
Both alongside jobs	About 15-20 hours each/week. Sell audits, tightly bounded pilots and one delivery at a time.	Employer approval/compatibility; no use of employer time, code, devices, leads or data.	Target ₹1-₹3L first. At 40 combined hours/week and 60% billable, capacity is about 104 delivery hours/month.
One founder full-time	Full-time founder owns weekday sales/operations and client response; technical founder protects bounded delivery windows.	Three months positive cash flow, six months personal runway, qualified pipeline and no employer/IP conflict.	Makes ₹3-₹5L repeatable sales more plausible; hire contractors only against paid scope.
Both founders full-time	Dedicated sales plus technical leadership; add delivery pod and recurring operations.	Six months at or near target, ≥6 months business runway, top client ≤30%, ≥30% recurring/contracted and clear roles.	Required in most routes to sustainable ₹10L; introduces payroll, bench and management risk.

Phase KPIs and expected lean expenditure

Phase	Months	Monthly spend estimate	Leading KPIs	Move only when
Validation	1-2	₹5k-₹20k	Interviews, repeated pains, qualified conversations	One narrow ICP/problem and 5 credible buyer conversations.
First client	3-4	₹10k-₹30k	Calls, paid pilot, scope variance, collection	Paid outcome, testimonial/case permission and clean closure.
Repeatable sales	5-8	₹15k-₹40k	Prospects, replies, calls, proposals, wins, sales cycle	Two unrelated clients and three qualified calls/month.
Recurring revenue	9-12	₹20k-₹60k	MRR, renewal, gross margin, DSO, concentration	20% recurring and three-month positive operating cash flow.
Contractor support	13-18	₹40k-₹1.25L	Utilisation, delivery cycle, rework, contractor margin	Paid trial passes; blended GM ≥65%; repeatable QA.
Scale	19-24	₹75k-₹2.5L	Six-month run rate, pipeline cover, retention, top-client share	Runway and demand justify each fixed cost.

18. Risk-reduction strategy

Risk reduction cannot manufacture demand, but it prevents avoidable failure. Every gate below has a measurable condition. Where the evidence is weak, choose the smaller reversible commitment.

Stage	Actions required	Measurable go/no-go condition
Before registration	Check employer policy/contract; agree founder roles, contribution, IP, decisions, exit and dispute route; interview buyers; compare structures with CA/CS/lawyer.	10 problem interviews; signed founder term sheet; 6 months personal emergency reserve; no unresolved employer/IP prohibition.
Before contacting clients	Choose one ICP and two offers; create proof asset, qualification rubric, CRM and outreach copy; set price floor and weekly sales slots.	100 named prospects; 20 warm connections; one credible demo/case; 8 weeks of protected outreach time.
Before first client	Use reviewed SOW/MSA/NDA/DPA as relevant; project bank/accounting flow; security baseline; advance invoice; delivery plan and acceptance tests.	Signed scope; 30-50% cash advance; named client owner; data access approved; target GM ≥60%.
Before hiring	Demonstrate backlog, SOPs, review capacity and cash; trial a contractor on bounded work; confirm confidentiality/IP/subcontract terms.	≥3 months confirmed work; ≥6 months salary/fee reserve; founder utilisation >80% for 8 weeks; top client ≤40%.
Before leaving employment	Resolve notice/conflict/IP; calculate personal and business runway; prove sales can recur without a single relationship.	Business: 6 months overhead cash. Personal: 9-12 months essential costs. 3-month positive cash flow; ≥3 clients; qualified pipeline ≥3x next-quarter target; top client ≤40%.
Before pursuing ₹10L/month	Formalise management accounts, capacity plan, QA/security ownership, partner channel, hiring and collections; price management load.	Six-month average ≥₹5L; recurring/contracted ≥30%; GM ≥60%; DSO ≤45 days; top client ≤30%; pipeline ≥3x quarterly target; ≥6 months fixed-cost runway.

Core operating guardrails

Metric	Healthy operating target	Escalation trigger
Client concentration	Largest client ≤30%; top three ≤60%	Largest >40%: pause fixed-cost hiring; replace concentration before expansion.
Gross margin	≥65% blended; ≥60% on any core package	<55% twice: stop selling that scope until re-priced/re-designed.
Recurring/contracted revenue	≥25% at ₹5L; ≥30-40% before ₹10L push	<15%: every proposal needs a maintenance/managed option.
Collections	Advance plus milestones; DSO ≤45 days	Any invoice >7 days late: escalation; >15 days: pause work if contract permits.
Pipeline cover	Qualified, probability-weighted pipeline ≥3x next-quarter goal	<2x for two weeks: founders reallocate time to sales.
Runway	≥6 months business fixed costs; separate personal reserve	<4 months: freeze discretionary tools/hiring and collect receivables.
Delivery capacity	70-85% of safe capacity committed; 15-30% buffer	>90% for 4 weeks: narrow intake or add vetted variable capacity.
Quality	On-time ≥90%; first-pass acceptance ≥85%	Two misses: root-cause review and no concurrent complexity increase.

Risk register: highest priorities

Risk	Probability / impact	Prevention	Recovery action
Weak sales pipeline	High / Critical	Weekly prospecting blocks, two channels, CRM, offer/ICP experiments.	Founder-led 30-day sales sprint; cut nonessential spend; interview lost deals.
Founder/job conflict	Medium / Critical	Written employer check; separate devices, time, code, clients and accounts.	Pause conflicting work; preserve evidence; seek employment-law advice.
Scope creep	High / High	Acceptance tests, exclusions, assumptions, change control and weekly decisions.	Freeze disputed work; issue priced change; reset timeline in writing.
Delayed payment	High / High	Advance, short milestones, vendor setup early, ageing review.	Escalate to sponsor/finance; pause under contract; consider MSME remedies [S7].
Client concentration	Medium / Critical	Concentration cap and active replacement pipeline.	No new fixed costs; extend runway; land smaller clients before renewal risk.
AI/data incident	Medium / Critical	Data map, provider approval, least privilege, evaluation, logging and response plan [S21][S22].	Contain, preserve logs, notify per contract/law, rotate access, root-cause and remediate.
Quality/deadline failure	Medium / High	Capacity buffer, peer review, demos, risk register and acceptance tests.	Transparent recovery plan; reduce scope; add review capacity; document trade-offs.
Partner deadlock	Medium / High	Reserved matters, domain authority, escalation, mediator and buyout mechanism.	Time-box negotiation; mediator/adviser; follow agreed exit/buyout process.

19. Final recommendation

Proceed only as a staged validation experiment. The best initial goal is not ₹10 lakh monthly revenue; it is a repeatable ₹1-₹3 lakh engine with clean contracts, at least two unrelated clients, ≥60-65% gross margin, collection discipline and one proven acquisition channel. Registration follows founder/employer alignment and buyer proof.

Recommended starting configuration

- Structure: an LLP is sensible for two active partners who want limited liability and contractual flexibility, provided they accept recurring MCA, tax, GST/TDS and accounting duties. It is not a sales advantage.
- Positioning: one vertical or workflow, such as B2B SaaS customer operations or data/reporting for multi-location service SMEs; describe the business outcome, not the technology stack.
- First offers: a paid AI/automation audit; a bounded customer-operations automation; and a reliable reporting/data-pipeline package. Sell website redesign only when tied to conversion, workflow or measurable operational value.
- Markets: start with warm Indian and international relationships in parallel. Indian clients help local proof and access; overseas work can improve contract values but adds sales, tax, payment, time-zone and legal complexity.
- Commercial model: 30-50% advance, short paid milestones, objective acceptance, change control, 15-30 day defect warranty, and a separate managed-support option.
- Founders: sales/operations partner owns pipeline, proposals, collection and client communication; technical partner owns architecture, estimation, security, QA and capacity. Cross-cover discovery and key accounts.
- Scale trigger: one founder may move full-time only after personal and business runway, employer clearance, three months positive cash flow, three clients and ≥3x qualified pipeline. Both full-time is a later decision.

What a 60-80% probability would require

No source located measures the requested outcome for a new Indian technology-services LLP, so a 60-80% claim would be false precision. This report's strongest Year-5 estimate for ₹5 lakh/month is 50-65%; for ₹10 lakh/month it is 25-40%. Reaching even those bands assumes two complementary founders, a warm network or channel partner, strong technical delivery, one founder moving full-time after proof, a narrow differentiated offer, measured weekly sales, value-based contract sizes, variable delivery capacity, ≥60% gross margin, good collections and controlled concentration. Removing several conditions moves the firm toward the realistic or conservative bands.

90-day action plan

Days	Outcome	Actions	Evidence required
1-15	Safe founder baseline	Employer review; founder term sheet; 15 buyer interviews; cash/runway calculation.	No unresolved conflict; agreed roles; top three pains ranked.
16-30	Sellable narrow offer	Choose ICP; package audit and one implementation; create sample deliverable; list 100 accounts.	Five buyers confirm relevance; price and scope can produce ≥60% GM.
31-60	Paid validation	Warm introductions plus personalised outreach; discovery; close one paid audit/pilot.	Signed SOW, advance received, qualified baseline and acceptance tests.
61-90	Proof and repeatability	Deliver, quantify outcome, collect, request case/referral; run second campaign.	One clean case, second client/pipeline, project post-mortem and updated pricing.

20. Master checklist

Use these lists as evidence gates. A checked box means the underlying record exists - not merely that the founders discussed it.

Founder-alignment discussion

[ ] Roles, weekly time and response expectations recorded
[ ] Contribution, profit share, remuneration/drawings and expense rules agreed
[ ] Reserved decisions, domain authority, deadlock, underperformance and exit agreed
[ ] Client ownership, IP, confidentiality, non-solicit and dispute route agreed

Employer moonlighting and conflict check

[ ] Employment agreement, policy, handbook, notice and approval requirements reviewed
[ ] No use of employer time, device, code, data, cloud, leads, brand or confidential know-how
[ ] Competitor/client overlap and invention-assignment risk reviewed by lawyer if material
[ ] Written approval or documented safe boundary obtained where required

LLP registration

[ ] Name, objects, registered office, partners/designated partners and contribution confirmed
[ ] Digital signatures and current MCA incorporation requirements confirmed with CS
[ ] FiLLiP/incorporation filings completed and certificate/PAN/TAN records stored [S1]
[ ] Post-incorporation Form 3/agreement filing deadline diarised [S1]

LLP agreement

[ ] Contribution, profit/loss share, partner remuneration/interest mechanics drafted
[ ] Roles, voting, reserved matters, bank authority and spending limits included
[ ] Admission, retirement, death/disability, expulsion/underperformance and valuation included
[ ] IP, confidentiality, client ownership, non-solicit, deadlock and dispute provisions reviewed

Banking and accounting setup

[ ] Current account and two-person/limit-based payment controls active
[ ] Invoice sequence, chart of accounts, expense evidence and partner ledgers configured
[ ] Monthly P&L, balance sheet, cash-flow, ageing and project margin close scheduled
[ ] CA/CS calendar, document owner and backup location confirmed

GST and tax readiness

[ ] GST threshold/mandatory-registration triggers and place of supply confirmed [S4]
[ ] Invoice fields, HSN/SAC, tax rate, return frequency and input-credit process confirmed
[ ] LUT/export, foreign receipt and reconciliation workflow confirmed if applicable [S5]
[ ] Advance tax, LLP return, partner payments, TDS and 2026 transition reviewed [S3][S27]

Service selection

[ ] One urgent buyer problem, clear business result and evidence of willingness to pay
[ ] Scope can be standardised and accepted objectively
[ ] Price produces ≥60% target gross margin at realistic hours
[ ] Security/data dependency and recurring expansion path understood

Ideal-client selection

[ ] Industry, size, geography, trigger, buyer and technology context defined
[ ] Minimum budget, urgency, data readiness and sponsor access defined
[ ] Exclusions/red flags and concentration limit documented
[ ] At least 100 named target accounts and 20 warm paths identified

Outreach preparation

[ ] Personalised observation, relevant proof and one specific outcome in message
[ ] Consent/privacy and platform rules considered; opt-out and suppression process ready
[ ] CRM stages, owner, next action and follow-up dates configured
[ ] Landing proof/sample passes a five-second relevance test

Discovery call

[ ] Current process, volume, cost, delay, error and consequence quantified
[ ] Desired result, decision process, budget, timeline and stakeholders confirmed
[ ] Data, security, integration, access and change-management risks surfaced
[ ] Mutual next step, owner and date agreed; disqualify if no viable problem

Proposal preparation

[ ] Executive problem/outcome, scope, exclusions, assumptions and dependencies included
[ ] Milestones, acceptance, timing, client duties and change control included
[ ] Price/payment schedule, validity and optional retainer included
[ ] Technical, margin, security and capacity review completed before sending

Contract review

[ ] Correct entity, authority, scope precedence and payment/late-pause rights confirmed
[ ] IP, open-source, portfolio use, confidentiality and data terms confirmed
[ ] Warranty, liability, indemnity, termination, handover and dispute terms reviewed

[ ] Lawyer reviewed material/unusual risk; signed copies and amendments stored

Project onboarding

[ ] Advance cleared, purchase order/vendor setup complete and kickoff owner named
[ ] Scope baseline, acceptance tests, milestones, RACI and communication cadence approved
[ ] Access inventory, data map, environments, backup and security contacts recorded
[ ] Risk register and change-request process explained to client

Delivery quality

[ ] Weekly status, decisions, budget/scope and risk log current
[ ] Code/config review, testing, security and AI evaluation evidence retained
[ ] Backup, rollback, monitoring and documentation verified
[ ] Client dependencies escalated early; capacity remains below safe limit

Payment collection

[ ] Invoice issued against accepted milestone with PO/supporting evidence
[ ] Ageing owner follows up before and after due date
[ ] Dispute separated from undisputed amount; sponsor and finance contacts engaged
[ ] Pause/escalation and MSME remedy considered under contract/law if overdue [S7]

Project closure

[ ] Acceptance and final payment status confirmed
[ ] Handover, documentation, licences, backups and access revocation complete
[ ] Warranty/support boundary and escalation path acknowledged
[ ] Outcome, testimonial/case permission, referral and retainer decision captured

Monthly financial review

[ ] Revenue separated into recurring and one-time; cash receipts reconciled
[ ] Direct cost, gross profit, overhead, pre-tax profit and partner withdrawals separated
[ ] Receivables ageing, DSO, runway, concentration and pipeline cover reviewed
[ ] Project/client profitability and forecast compared with capacity

Hiring readiness

[ ] Backlog is contracted; work cannot be solved by pricing/scope/process first
[ ] Role scorecard, utilisation economics and manager/reviewer capacity defined
[ ] Six months employment/contractor reserve and compliant terms available
[ ] Paid trial/reference check, IP/confidentiality and access controls complete

Founder full-time transition

[ ] Employer exit and IP/client restrictions cleared
[ ] Personal reserve covers 9-12 months essential costs
[ ] Business has 6 months fixed-cost runway and three months positive cash flow
[ ] At least three clients, top client ≤40% and qualified pipeline ≥3x next quarter

₹5 lakh monthly-revenue readiness

[ ] Capacity plan supports delivery with 15-30% buffer
[ ] Blended gross margin ≥60-65%; DSO ≤45 days
[ ] Top client ≤35-40%; at least 20-25% recurring/contracted
[ ] Six-month target requires six-month average, not one exceptional invoice

₹10 lakh monthly-revenue readiness

[ ] Six-month average at/above ₹5L with positive operating cash flow
[ ] Top client ≤30%; recurring/contracted ≥30-40%; pipeline ≥3x quarter
[ ] Delivery lead, QA/security owner and variable/fixed capacity economics proven
[ ] Six months fixed-cost runway and founder-management bandwidth confirmed

21. Sources and research methodology

Method

Research was completed on 24 July 2026. Official Indian sources were used for entity, tax, GST, MSME, privacy, cyber-security and foreign-exchange matters. Recent agency, consulting and B2B-sales reports supplied operating benchmarks. Community discussions were used only to identify recurring practical patterns; they were not treated as statistical proof. Links were opened during research. Future access can still change.

How the probability ranges were constructed

There is no official dataset for 'new Indian LLP technology-service firms that sustain ₹5-10 lakh monthly revenue for six months with positive cash flow and diversified clients'. The model therefore multiplies five conditional estimates: P(active) × P(repeatable sales) × P(delivery capacity) × P(economics) × P(diversification). Example for the realistic 36-month ₹5 lakh case: 0.84 × 0.45 × 0.70 × 0.85 × 0.80 ≈ 18%. Ranges widen each input and reflect dependency between factors rather than pretending to statistical precision. The output was then reconciled with service-firm sales, margin, cash and specialization benchmarks [S15][S16][S17][S18].

Evidence hierarchy and limitations

- Official sources are authoritative for the stated date, but professional confirmation is required for the founders' facts, state and transaction.
- Industry benchmarks are not India-LLP success statistics; their samples, currencies, service mixes and firm ages differ from this business.
- Founder/community experiences reveal mechanisms and warnings, not incidence rates.
- Revenue is volatile in project businesses; the model uses a six-month average/run rate and positive operating cash flow.
- Survivorship, response and selection bias are likely in published agency/consulting surveys and founder stories.
- AI demand and competition can change quickly. Re-run pricing, sales and technology assumptions every quarter.

Source register

S1 · LLP e-Filing portal
Ministry of Corporate Affairs · Current page, accessed 24 Jul 2026 · Official
FiLLiP, Form 3, Form 8 and Form 11 filing routes. Open source

S2 · MCA dashboard and notifications
Ministry of Corporate Affairs · 30 Jun 2026 figures · Official
Active LLP count and monthly LLP incorporation context. Open source

S3 · Partnership Firm / LLP for AY 2026-27
Income Tax Department · Updated 27 May 2026 · Official
Separate legal entity, ITR-5, 30% tax, surcharge, cess and AMT overview. Open source

S4 · GST - An Update
Central Board of Indirect Taxes and Customs · 1 May 2019; current threshold rechecked Jul 2026 · Official
Service-provider GST registration threshold. Open source

S5 · Furnishing LUT for export of goods or services
GST Portal · Current manual, accessed 24 Jul 2026 · Official
LUT before zero-rated export without IGST payment. Open source

S6 · Udyam Registration - Important to Know
Ministry of MSME · Current page, accessed 24 Jul 2026 · Official
Free, paperless and self-declaration based registration. Open source

S7 · Annual Report 2025-26
Ministry of MSME · May 2026 · Official
MSME limits, Udyam, delayed-payment evidence and statutory protections. Open source

S8 · MSME Dashboard
Ministry of MSME · Live data as at 24 Jul 2026 · Official
Scale and service share of registered MSME ecosystem. Open source

S9 · Annual Survey of MSMEs in India: Role of Digitalisation
ICRIER · Mar 2025 · Research study
Finance, market, information and skills constraints; digitalisation context. Open source

S10 · Survey on Computer Software and ITES Exports 2024-25
Reserve Bank of India · 4 Nov 2025 · Official survey
Software services exports of US$204.7bn, up 7.3%. Open source

S11 · Technology Sector in India: Strategic Review 2025
Nasscom · 24 Feb 2025 · Industry study
Indian technology-sector demand and structural direction. Open source

S12 · AI Adoption Index 2.0
Nasscom · 29 Aug 2024 · Industry study
AI adoption across 500 companies and expected market growth. Open source

S13 · India Generative AI Startup Landscape 2025
Nasscom · 2025 · Industry study
Rapid GenAI formation and enterprise-adoption context. Open source

S14 · Transforming Small Businesses: An AI Playbook for India's SMEs
World Economic Forum · 2025 · Policy / industry report
SME adoption barriers and practical AI enablement. Open source

S15 · 2025 Digital Agency Industry Report
Promethean Research · May 2025 · Industry benchmark
Agency margins, recurring revenue, sales investment, specialization and service mix. Open source

S16 · Benchmarks for Consulting Businesses 2025
The Wow Company / Consultancy Growth Network · 2025 · Industry benchmark
New-business difficulty, cash reserves, differentiation and gross-margin benchmarks. Open source

S17 · 2025 B2B Sales & Marketing Benchmark Report
Norwest · 2025 · Industry benchmark
Sales-cycle length by annual contract value. Open source

S18 · Cold Email Response Rates: 2026 Study
Belkins · 26 Jun 2026 · Campaign benchmark
Strict reply-rate benchmark from 7.5m cold emails sent in 2025. Open source

S19 · Starting a Software Agency - How Did You Land Your First Project?
Reddit / r/ExperiencedDevs · Mar 2025 thread · Community experience
Illustrative operator experiences on networks, sales, niche, late payment and scaling. Open source

S20 · Handling dual employment and moonlighting cases in India
Corrida Legal · 6 Apr 2026 · Legal commentary
Employment contract, policy and conflict risks; not treated as personalised advice. Open source

S21 · Digital Personal Data Protection Rules 2025
Ministry of Electronics and IT · 14 Nov 2025; corrigendum 16 Dec 2025 · Official
Current Indian data-protection framework and implementation material. Open source

S22 · Cyber Security Directions under Section 70B
CERT-In · 28 Apr 2022 · Official
Incident reporting, logging and security-direction context. Open source

S23 · Foreign Exchange Management (Export and Import of Goods and Services) Regulations, 2026
Reserve Bank of India · 13 Jan 2026; effective 1 Oct 2026 · Official
Incoming change to export and import rules; current rules remain until effective date. Open source

S24 · IEC Profile Management
Directorate General of Foreign Trade · Current page, accessed 24 Jul 2026 · Official
IEC generally not necessary for pure services exports unless claiming FTP benefits. Open source

S25 · SOFTEX Forms
Reserve Bank of India · Current page, accessed 24 Jul 2026 · Official
SOFTEX applies to software exports, not merely IT-enabled services. Open source

S26 · DPIIT Recognition and Benefits
Startup India · Current criteria accessed 24 Jul 2026 · Official
Recognition eligibility, innovation/scalability test and separate tax-exemption application. Open source

S27 · TDS Compliance FAQs for the 2026 transition
Income Tax Department · Updated Jul 2026 · Official
Income-tax Act 2025 section-number transition and unchanged TDS rates/thresholds. Open source

Appendix A. Ready-to-use operating templates

Copy these tables into a spreadsheet or project tool. Keep one accountable owner and a dated next action for every row.

A1. Founder responsibility matrix

Activity	Sales / operations founder	Technical founder	Joint / approval rule
ICP, positioning and pipeline	Accountable / executes	Consulted on feasibility	Quarterly positioning decision jointly
Discovery and qualification	Leads business case	Leads technical/data risk	Both on high-value calls
Proposal and pricing	Drafts, follows up, commercial owner	Estimates scope/cost/capacity	Both approve margin and commitments
Contract, invoicing, collection	Accountable; coordinates counsel/CA	Consulted on IP/security/SLA	Both approve unusual liability or >₹1L credit
Architecture, delivery and QA	Keeps client informed	Accountable / executes	Scope changes require sales and technical approval
Security and data	Contract/client coordination	Accountable for controls/evidence	Incident decisions joint; lawyer/security adviser as needed
Hiring / subcontractors	Economics and terms	Technical assessment and review plan	Both approve recurring commitments
Finance and compliance	Monthly close/calendar owner	Supplies project/time/cost records	Both review monthly; CA/CS confirms filings

A2. Monthly KPI dashboard

KPI	Target	Actual	Trend	Owner / action
Total revenue	₹___			
Recurring revenue / %	₹___ / ___%			
One-time project revenue	₹___			
Gross profit / margin	₹___ / ≥___%			
Operating expense / pre-tax profit	₹___ / ₹___			
Cash balance / runway	₹___ / ___ months			
Receivables / DSO	₹___ / ≤45 days			
Largest client share	≤30-40%			
Named prospects / calls / proposals / wins	___ / ___ / ___ / ___			
Qualified pipeline cover	≥3x quarter target			
On-time / first-pass acceptance	≥90% / ≥85%			
Founder capacity / utilisation	___ hours / ___%			

A3. Sales pipeline tracker

Account / contact	ICP + trigger	Stage / probability	Value / recurring	Last / next action	Target close

Suggested stages: researched, contacted, replied, qualified, discovery, proposal, commercial/legal, verbal, won/lost. Do not probability-weight an unqualified lead.

A4. Client profitability tracker

Client / project	Revenue	Direct labour / contractor	Cloud / tools	Gross profit / %	Founder hours	Collection days	Action
	₹	₹	₹	₹ / %			
	₹	₹	₹	₹ / %			
	₹	₹	₹	₹ / %			
	₹	₹	₹	₹ / %			

A5. Project risk register

Risk / cause	Probability	Impact	Owner	Prevent / detect	Trigger	Response / due
	L/M/H	L/M/H				
	L/M/H	L/M/H				
	L/M/H	L/M/H				
	L/M/H	L/M/H				
	L/M/H	L/M/H				

A6. Monthly cash-flow tracker

Line	Opening / budget	Week 1	Week 2	Week 3	Week 4	Month total
Opening bank cash	₹	₹	₹	₹	₹	₹
Client receipts - recurring	₹	₹	₹	₹	₹	₹
Client receipts - projects	₹	₹	₹	₹	₹	₹
Direct delivery payments	₹	₹	₹	₹	₹	₹
Payroll / contractor	₹	₹	₹	₹	₹	₹
Software / cloud	₹	₹	₹	₹	₹	₹
Sales / admin / compliance	₹	₹	₹	₹	₹	₹
GST / TDS / advance tax reserve	₹	₹	₹	₹	₹	₹
Partner drawings / remuneration	₹	₹	₹	₹	₹	₹
Closing bank cash	₹	₹	₹	₹	₹	₹
Runway (closing cash ÷ fixed monthly cost)	months					months

A7. Go/no-go checklist for leaving a job

Test	Minimum evidence	Status	Action if no
Employment/IP	Written review of notice, moonlighting, non-solicit, confidentiality and invention terms	Go / No	Obtain approval/legal advice; remove conflict.
Personal runway	9-12 months essential household costs outside business cash	Go / No	Delay exit; reduce costs/build reserve.
Business runway	6 months fixed costs after tax/GST reserves	Go / No	Collect advances; reduce fixed commitments.
Revenue proof	Three months positive operating cash flow; not one exceptional invoice	Go / No	Stay part-time; improve retention and collection.
Diversification	≥3 paying clients; largest ≤40%	Go / No	Land replacement clients before exit.
Pipeline	Qualified pipeline ≥3x next-quarter goal with dated decisions	Go / No	Run an 8-week sales sprint.
Capacity/role	Full-time founder has a written weekly sales/ops plan and counterpart coverage	Go / No	Clarify workload and handoffs.
Downside plan	Date/metric to cut spend, seek employment or wind down	Go / No	Agree triggers with partner/family.